

Strategic Analysis Of Loan Profitability



Job Title

All

City

All

Gender

All

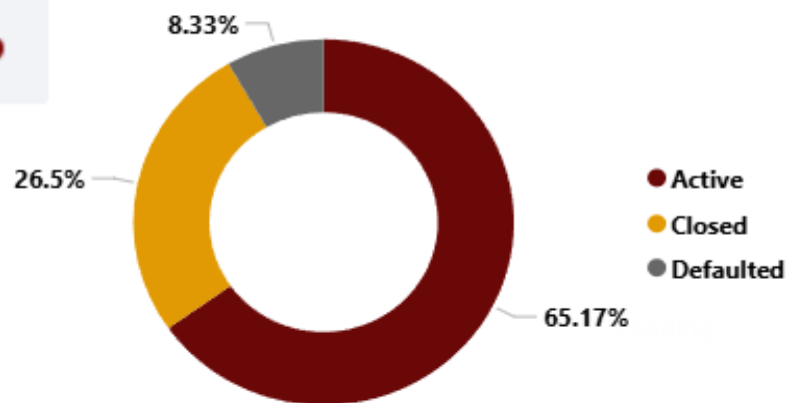
Filters

Sum of Loan Amount

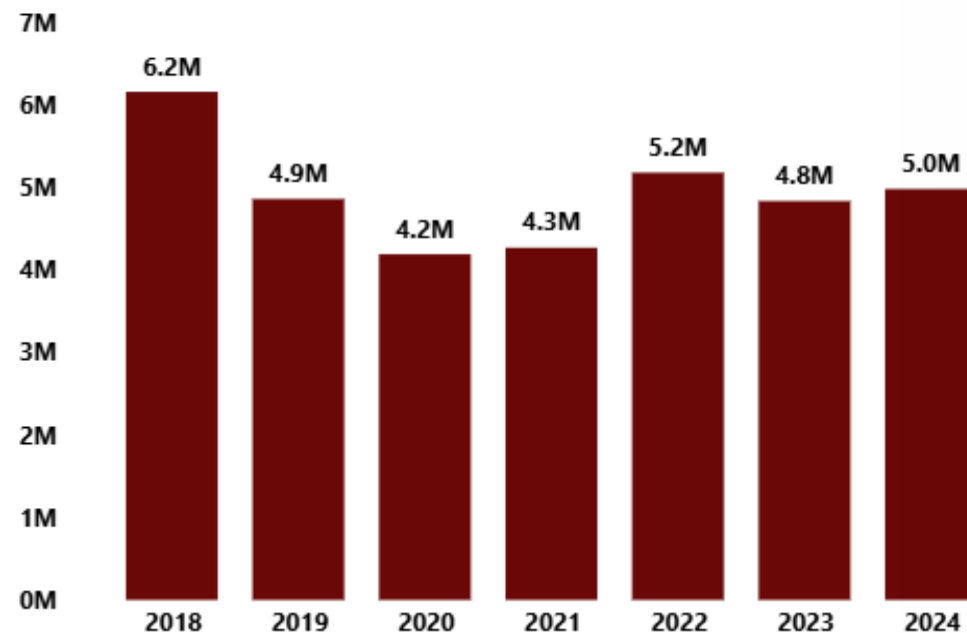
\$237M



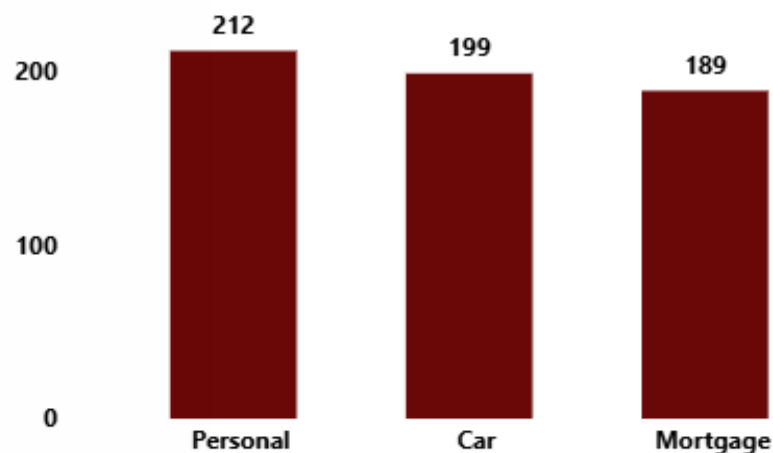
Count of Loans by Loan Status



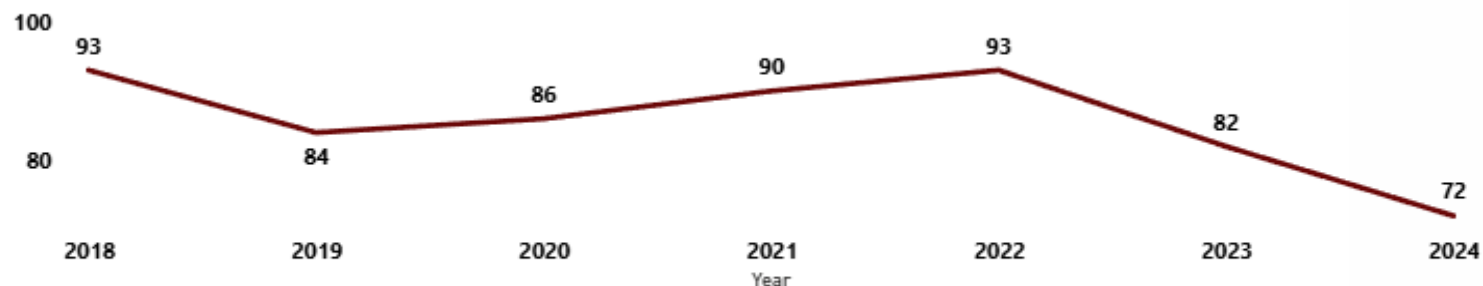
Sum of Annual Profit by Year



Count of Loans by Loan Type

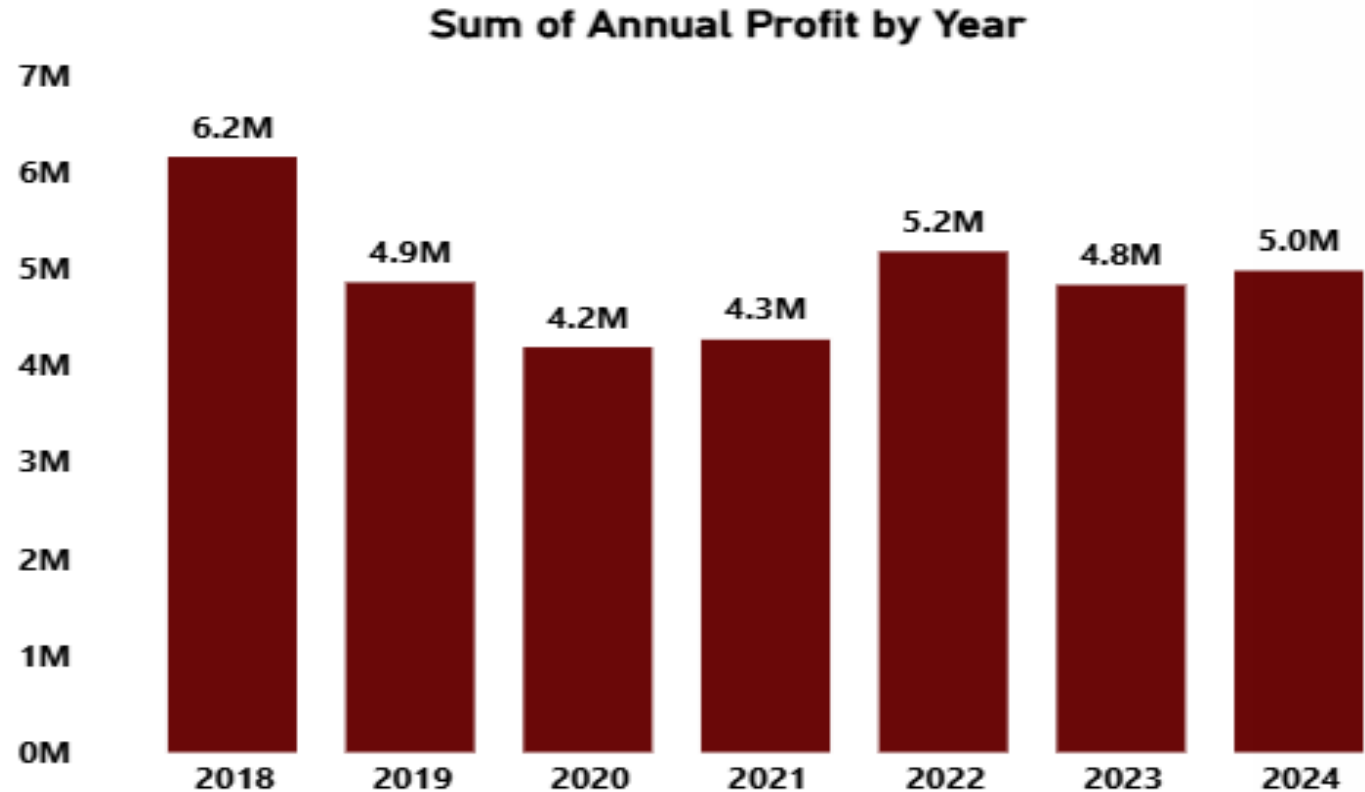


Count of Loans by Year



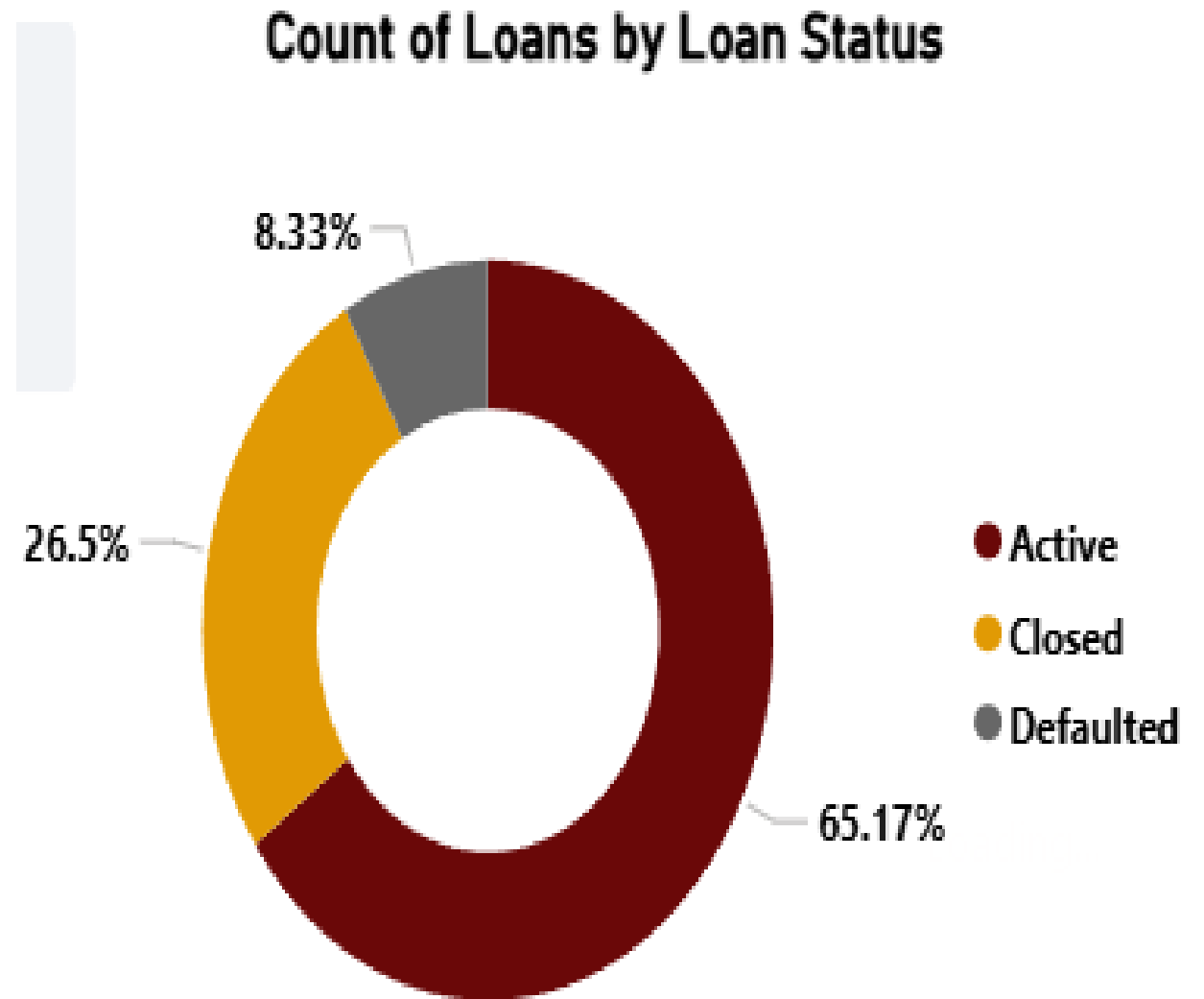
Profit vs Year

The Profitability Gap:
While the loan portfolio remains substantial, net annual profit has shown fluctuations since its 2018 peak (\$6.2M). This suggests a critical need to optimize loan pricing strategies or reduce operational overhead.



Defaulted Loans

Credit Quality Alert: My analysis revealed a 8.33% Default Rate. In banking, this is a vital KPI as it directly impacts the bottom line through increased provisions.



Strategic Recommendations

1- Mitigation of Credit Risk

Observation: The analysis shows a 8.33% Default Rate, which directly impacts net profitability through higher provisions.

Recommendation: Re-evaluate the credit scoring models for "Personal Loans," as they represent the highest volume. Implementing stricter debt-to-income (DTI) ratios could help lower the default rate and stabilize annual profits.

2- Loan Portfolio Diversification

Observation: The portfolio is heavily weighted towards Retail and Personal loans, making the bank more vulnerable to consumer economic shifts.

Recommendation: Shift focus towards increasing "Mortgage" and "SME" (Small and Medium Enterprises) loan volumes. These segments offer long-term collateralized stability and can help recover the profit levels seen in 2018.

3- Geographic Resource Allocation

Observation: Mansoura and Alexandria show higher customer engagement/count than Cairo.

Recommendation: Launch targeted promotional campaigns and dedicated financial centers in Mansoura and Alexandria. Capitalizing on these high-performing regions can drive more "Active" loans with lower acquisition costs.

4- Profitability Optimization

Observation: Net profit has been fluctuating and hasn't yet regained its 2018 peak (\$6.2M).

Recommendation: Conduct a cost-benefit analysis on "Closed" loans to understand customer retention. Offering "Top-up" loans to reliable customers with "Closed" status can increase interest income without the risk of acquiring new, unknown borrowers.